

Incentives Restricting Solar Business In India

Indian industry needs a level-playing ground to be able to meet the challenges posed by some countries who seem to be dumping low-priced goods in the country. But should the industry keep getting incentives even when there is actually no need for them? Do such incentives help or hamper growth of the industry? Read on for the author's eye-opening views

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Since long, India's photo-voltaic (PV) solar industry has been driven by the Central and state governments by offering incentives. There is a need to look at market realities and the drastically reduced prices of PV modules. Grid parity, in real terms, is already achieved. Solar power costs less than a third of diesel power and yet our government offers subsidies!

Industries in India love subsidies and incentives. Even today, myth of PV solar power being more expensive than the power from the grid is being perpetuated. The new government will therefore do well to review and revamp this sector. Actually nothing more than reducing the capital cost of a solar plant and focussing on distributed use of solar energy is required.

Till three years ago, the cost of solar energy was high due to high cost of PV modules. But their prices per Wp have rapidly fallen from US\$ 3.75 in 2007 to mere US\$ 0.65 by 2014. Interestingly, the chart in Fig. 1 also makes it clear that even at the current price PV modules manufacturing industry is sustaining well, as reflected in the ever-growing volume of shipments. Those industries which were inefficient and not modern enough have already vanished from the scene.

Markets in the India's solar industry, however, continue to be incentive-driven. Not only this is unhealthy but also this incentive regime has vitiated the market with

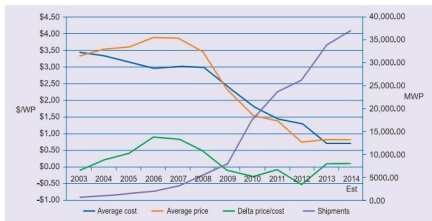


Fig. 1: Module ASPs, costs, shipments and the cost/price delta, 2003 through 2014

the Ministry of New and Renewable Energy (MNRE) taking the centre stage than the industry! Incentives and the associated bureaucratic rules and procedures have taken us back to the License Permit Raj. It has become a tool in the hands of government employees who seem to use it to line their pockets instead of promoting solar technology. Many of them have become rich. Related government offices at the Centre and the states are today surrounded by touts, many working for the *babus* inside.

Another reality is the government's complete failure in honouring its commitment to pay the promised subsidy. It is a shame that the solar energy industry is so dependent on the government for success. Crony capitalism rules in the renewable energy industry. As the cost of energy from fossil fuels continues its exponential rate of increase and solar technologies improve, the cost of solar energy is becoming progressively

competitive with energy derived from fossil fuels.

Need for off-grid systems

The emerging reality tells us clearly that, the most economical application of solar energy for India will be off-grid energy systems and micro-grids. May be rural homes need a capital subsidy, and that can be given 'cleanly' and efficiently through the nationalised banks. It is as important as the rural banking if not more. Biggest benefit in lighting our dark rural homes would be a sharp drop in highly-subsidised kerosene's use. Solar energy use in Sri Lanka hinges on this to reduce its fossil fuel imports.

NY State's Public Services Commission, in their April 2014 Reforming the Energy Vision (REV) document, proposes one new approach. It envisages a new mission for utilities, that of distributed services platform providers (DSPPs). "The DSPP will identify, plan, design, construct, operate and